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District Court Munich I

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Baumgerten
Judicial Clerk

File number: 6 KLs 308 Js 34248/10

Kl.

In the Name of the People!

The 6th Criminal Chamber of the District Court Munich I delivered in the criminal proceedings against

THOMAS, Dierk Hillern born on 27.10.1963 in Wolfsburg
German citizen
married
business consultant

last domicile:
Berg 10, 6306 Söll/Austria

at present:
JVA Munich-Stadelheim, 81549 Munich

for tax evasion

during the public hearing of 28.10.2013, following the main proceedings of 24.10.2013 and 28.10.2013, where the following were present:

1. The Presiding Judge:	Eckert Presiding District Court Judge
2. The associate Judge:	D. Röthlein District Court Judge
3. The lay Judges:	a) Heidelinde Obermaier-Krauczyk b) Marion Queisser both legally appointed according to the separate record of for a) 12.01.2009 for b) 28.01.2009
4. The prosecutor:	Winkler State prosecutor
5. Defence lawyer	Dr. Gotzens Solicitor
6. The Court Clerks:	Staffler Senior Court Clerk Baumgarten Court Clerk

the following

Judgement:

I. The Defendant Dierk Hillern Thomas, born on 27.10.1963 in Wolfsburg is guilty of tax evasion in four cases.

II. He is therefore sentenced to a two-year imprisonment and, in addition, to afine of 720 daily rates of 100.00 € each.

III. The Defendant is allowed to pay the settled fine in monthly instalments of 3000.00 €, starting on the 15th day of the month following the enforcement of the judgement. If the Defendant is in default of an instalment for more than one month, the rest of the fine is due for payment immediately.

IV. The detention pending extradition to Austria from 09.10.2012 until 19.10.2012 will count with a 1:1 ratio.

V. The Defendant bears the costs of the proceedings.

Used provisions:

§§ 369, 370 par. 1 no. 2, par. 3 page 2 no. 1 Revenue Code, 53 Criminal Code

Reasons:

(abridged in compliance with § 267 par. 4 Code of Criminal Procedure)

The judgement was issued following an agreement in compliance with § 257 c Code of Criminal Procedure.

A)

The Defendant Dierk Hillern Thomas was born on 27.10.1963 in Wolfsburg. The father holds a degree in business administration and worked at first for VW and later for BMW. At present, he lives with his second wife in Madrid, Spain. The mother of the Defendant was a teacher and is now retired. The Defendant has two brothers, a sister and a half-brother from the new marriage of his father. One brother, D. Steffen Thomas, has a PhD in Chemistry and is a patent agent and lives in Munich. The second brother, Michael Thomas, was a solicitor and since a stroke which he suffered in 2005, has been unable to work. The sister of the Respondent, 12 years his junior, is an architect and lives in Munich.
For the first 5 years of his life, the Defendant grew up with his family in Wolfsburg. Afterwards, his family moved to the USA and Thomas attended primary school first in Washington D.C. and then in Montreal. When the Defendant was about 9 years old, he came to live with a sister of his father's in Berlin and finished primary school there.
Then the family moved to Munich, where the Defendant attended secondary school and passed the final examination. Following this, for two years he joined the Federal Armed Forces and he was a reserve officer for the airborne signaller demonstration Battalion 9 in Pöcking.

After that, the Defendant concluded a so-called Traineeship at Siemens, which was a management training course with a focus on practical relevance. In parallel, he studied management at the Ludwig-Maximilian University in Munich and graduated in 1990.
During the following period he was employed by Siemens in different higher management positions.He worked in controlling for the subsidiary Osram and, at the beginning of 1992, he

went to Osram Silvania in the USA. From the end of 1992 until the end of 1996 he worked as manager for Osram in Mexico, 1997 he became a manager for Osram in Italy.

In 1998, the Defendant left Siemens and joined Andersen Consulting. He worked for this solicitors and accounting firm in in strategy consulting and worked in an office in Munich. From there, he was delegated to Attrans in Berlin, where he stayed until May/June 2000. Afterwards the Defendant changed from Andersen Consulting to Telenovis, formerly Bosch-Telekom, where he was finance director. The latter company was acquired by a private-equity investor and the managers were asked to secure funding and investors for the company, which is what the Defendant did. Since Telenovis sold old telephones, it suffered badly from the market development and was nearing bankruptcy, when the company, following payment of an irrelevant compensation in 2003, parted from the Defendant . As a consequence, the Defendant worked as a freelance consultant, among others, for DNR-Telefonica, a company with headquarters in Madrid, in its Munich office, until is was closed. From 2004 onwards, Thomas worked as a consultant for Alcatel in Paris, at first as a freelance consultant, then for Vantage Point Europe Ltd and lastly for the company founded by him, Vantage Point Consulting Group GmbH. At the end of 2005 the activity of consultant for Alcatel ended and in 2006 the Defendant was looking for a new field of activity, before he started working in 2007 for the companies in relation to the subject matter of the proceedings.

The Defendant met his first wife, Michaela Krohn, in 1979 and married her in 1985. The marriage was dissolved in 1999 and remained without children.

In 2000 the Defendant had a relationship with Ms Heidweiler. With this partner he had two children, Emily Delphine and Tristan Tigre, both were born on 31.10.2000. The Defendant separated from Ms Heidweiler in 2002. The children live together with their mother in Amsterdam and Thomas pays a monthly child support of 1,200.00 € for them.

His current wife, Michaela Thomas, had known the Defendant since adolescence. She formerly worked as journalist and producer for the television. In 2003, they started a relationship and married in September 2005, after the birth of their son, Leopold Vincent, on 20.06.2005. On 10.09.2007, their daughter Lena Tara Dorkas was born in Munich. Between

2007 and 2010 Ms. Thomas, , worked in the Defendant 's company. During this time the Defendant lived with his family in Richhildenstr. 68 in Munich.

The Defendant has, as a consequence of old tax proceedings, debts amounting to around 893,000.00 € to the Revenue Office and, in addition, tax arrears that emerge from the current proceedings. Furthermore, the witness Häderle has outstanding claims against the Defendant claims amounting to millions.

The Defendant has a clean criminal record.

In the current proceedings, he was arrested on 09.10.2012 in Austria and on 19.10.2012 was extradited to the German authorities. Since then, he has been in custody in the Munich-Stadelheim prison.

B)

The Defendant Dierk Hillern Thomas, from 2007 to 2010, submitted no income tax return and paid no income tax with solidarity supplement, although had, as known to him, considerable earnings in this period which should have been taxed in Germany as well.

In detail:

I.) Background:

From 1999 until 2004 , the Defendant Thomas ran a sole proprietorship as business consultant.

In July 2004, the Defendant started an activity as consultant and freelancer for Brain Writer Ltd., in London, whose name was later changed to **Vantage Point Europe Ltd**. This company was owned by Thomas' business partner, the witness Häderle. In autumn

2004 Häderle transferred 50% of the company shares to the Defendant . The latter worked from 2004 to August 2005 for Alcatel in Paris as business consultant and freelancer on behalf of Vantage Point Europe Ltd. A short time after he took up the employment in Alcatel, the Defendant Thomas became also Managing Director of Vantage Point Europe Ltd. Until then, this company was managed only by Häderle. Ms Lilian Corvington, who was hired in Alcatel as consultant and whom the Defendant had already met in Mexico, procured the Alcatel contract order for Vantage Point Europe Ltd. Since the Defendant Thomas paid generous advance payments from Vantage Point Europe Ltd to himself, and also had Vantage Point Europe Limited pay high expense claims, which were created retrospectively, he cmae into conflict with the witness Häderle, who did not tolerate this.
As a reaction to this conflict, the Defendant founded in May 2005 the company **Vantage Point Consulting Group GmbH** with headquarters in Rößlstr. 7 in 82067 Zell. Until October 2005, Thomas was the sole shareholder of this company and its Managing Director, subsequently Mr Heyer was registered as straw man director. In reality, the Defendant continued to manage the company. Thomas then arranged that the contracts with Alcatel in Paris, which were first entered by the company Vantage Point Europe Ltd., were rewritten and entered into byhis own company, Vantage Point Consulting Group GmbH, and outstanding payments from Alcatel were paid to this company.
Various employees of Vantage Point Europe Ltd. were then employed by the new company Vantage Point Consulting Group Europe GmbH, but continued their work with Alcatel unchanged. An internal investigation into these activities at Alcatel, prompted by the efforts of the witness Häderle, finally led to the result that all Alcatel contracts were terminated in 2005 and Ms Corvington, as well as her direct superior, Lionel Sautter, had to leave the company.
As a consequence of the illustrated events, Vantage Point Europe Ltd. had to declare bankruptcy in August 2005 and was put under the management of an administrator, who announced legal proceedings against the Defendant . Moreover, the witness Häderle claimed damages in Great Britain against Thomas amounting to millions.

Vantage Point Consulting Group GmbH submitted a corporate income tax return only for the year 2005. From this it emerged that against revenues of around 740,000 € there were cost of around 525,000 € for which there were no receipts. Two VAT tax audits for this limited company led to a pre-tax reduction of around 66,500 €. In 2007, the Defendant Thomas declared that Vantage Point Consulting Group GmbH had been conducting

business only for a few months and in August 2005 had already ceased again its entire business activity. On 01.01.2009, Vantage Point Consulting Group GmbH was deregistered because of insolvency.

In 2005, the Defendant founded with Ruben Burgos Melendez (Lilian Corvington's brother), Sean Pereira and Lilian Corvington the company Vantage Point Consulting Group Inc., with headquarters in Canada. The name was later changed to **V. Consulting Group Canada Inc.**.

In 2006, the Defendant worked for some time in the USA as a business consultant. However, he was also in Germany looking for employment and was finally employed by EWT Multimedia GmbH in Berlin from September 2006 as "Managing Director". However, already in November 2006 this contract was terminated, when EWT Multimedia GmbH learned of the disputes of the Defendant related to his former business activities.

At the beginning of 2007 the Defendant faced various problems. On the one hand, after being fired by EWT Multimedia GmbH he had no employment anymore, on the other hand he faced, because of his former sole proprietorship company, considerable demands for back taxes by the Revenue Office in the amount of 570,000 €.

In addition his former business partner, the witness Häderle, obtained from the English Court a so-called "freezing injunction", comparable to a Arrest ("German for freezing injunction"), concerning the asseys of the Defendant s there, namely Vantage Point Consulting Group Europe GmbH and the Defendant Thomas.
Also other creditors of the Defendant , a Mr Gerlach, had claims against the Defendant because of loans or investment money not yet repaid. Moreover, the Defendant , who

had been living with his family from the beginning of 2007 in Rößlstr. 7 in Zell, had left this house in view of his contract with EWT Multimedia GmbH and therefore needed a new residence for himself and his family.

II.) Facts and circumstances in relation to the subject matter of the proceedings:

1.) Concealment activities:

In order to remain unnoticed by the Revenue Office and his creditors, and also to avoid taxes for the following years in Germany, the Defendant proceeded as follows:
At the beginning of 2007, he gave de-registered his German domicile. He told the tax authorities that he lived in Italy at the address: 25083 Gardone Riviera, Via Panoramica 17, Casa che Canta, and that his wife and children moved to Prien, where his wife's mother owns a house. In reality, the address in Italy was only the holiday house of the Defendant and his family, which he had rented permanently and used during holidays and sometimes for weekend trips.

In truth, the Defedant, after he had to move from the address Rößlstr. 7, 82067 in Zell, went to find accommodation in Munich for himself and his family and instructed a relocation service, which helped the Defendant Thomas , in August 2007, to find a villa in Richhildenstr. 68 in Munich, which he rented together with his wife on 15.08.2007, and to where he moved with his family and where he lived until he moved in summer 2012 to Austria in the so-called "Nobahof", Berg 10, 6351 Söll.

At the beginning of 2007, the Defendant contacted Ms Corvington, who in the meantime had become a successful consultant for Vodafone and enquired about possible employment.

Ms Corvington therefore interceded with the useful contact from Vodafone, so the Defendant could become a highly paid consultant for Vodafone. From this work, he earned taxable income from freelance work, in accordance with § 18 Income Tax Act and additional profits from V. Consulting Group Canada Inc. according to § 20 par 1 no. 1 Income Tax Act. He was assessed jointly with his wife at the Tax Office in Munich, department IV/V, under the tax number 148/152/70550.

In compliance with §§ 149, 150 Revenue Code, 1, 18 par. 1 no. 1, 25 par. 3 Income Tax Act, 56 Income Tax Implementations Regulations, the Defendant was obliged to declare completely and truthfully the income obtained by him within 31.05 of the following year in one of the income tax returns provided.

The Defendant did not fulfil these obligations. He submitted no tax return for the assessment period from 2007 until 2010 included, in order to reduce taxes, because of a preconceived resolution to commit an offence.

Then the Defendant proceeded as follows:

2. Founding of companies

a) V. Consulting Group Canada Inc.

At first, as already explained, he founded in 2005 Vantage Point Consulting Group Canada Inc. with the witnesses Ruben Burgos Melendez, Sean Pereira and Lilian Covington, which was entered on 22.02.2005 in the Trade Register of Ontario, Canada, and whose name was changed with registration of 12.06.2006 to V. Consulting Group Canada Inc. with headquarters in Ontario, Canada, as well.

The company shares of the Defendant and the witness Lilian Corvington for this company were respectively shared equally at 25% by the shareholders Ruben Burgos Melendez and Sear Pereira, so that in the trade register of Ontario, Canada, only the witnesses Ruben Burgos Melendez and Sean Pereira were listed as shareholders. Objective of the company was to provide consultancy services to companies, although these services were subsequently performed for Vodafone Group Services Limited with headquarters in Newbury, Berkshire, England, and Vodafone India Services Private Limited with headquarters in Mumbai, India. In order to perform these services, V. Consulting Group Canada Inc. made contracts for the consultants as subcontractors all over the world, who on behalf of this company consulted the respective companies of the Vodafone group.

b) V. Consulting Group Europe GmbH

Under the pretext that the English Vodafone Group Services Limited preferred to contract with a European company instead of a Canadian one, the Defendant purchased on 09.07.2007 the company Nuovo Drei Vermögensverwaltung GmbH with headquarters in Munich, which is listed in the trade register of the District Court Munich under HRB

168651, rebranded it as V. Consulting Group Europe GmbH and was until 09.06.2011 registered director of this company. The company's first address was Kardinal-Faulhaber-Str. 10, Munich, which were the premises of the chambers of Pöllath & Partner Solicitors.

On 24.11.2008, the headquarters of the company were moved to Maximilianstr. 35a in Munich, which is the headquarters of the secretarial services Regus GmbH & Co.. The aim of V. Consulting Group Europe GmbH, was among others, consultancy for companies. The sole shareholder was V. Consulting Group Canada Inc. with headquarters in Ontario, Canada, from which the Defendant concealed 25% of the company shares via trustees Ruben Burgos Melendez and Sean Pereira.

3. Revenues from profit participation in V. Consulting Group Canada Inc.

In accordance with the agreements concluded between the shareholders, the consultancy services should be performed by V. Consulting Group Canada Inc. for the Vodafone group through its hired consultants. V. Consulting Group Europe GmbH should simply invoice the services performed by V. Consulting Group Canada Inc. for the Vodafone group and collect the amounts invoiced for V. Consulting Group Canada Inc.. The profit of the Canadian company was therefore constituted by the difference between the invoiced consultancy services for the respective consultant with respect to Vodafone Group Services Limited (henceforth referred to as "net margin") and the Vodafone India Services Private Limited (henceforth referred to as "India margin"), and the costs arisen at V. Consulting Group Canada Inc. for the involved consultants. Therefore, the share of the Defendant in the income of the Canadian parent company, corresponding to the company shares concealed by him, amounted to 25% in total and he invoiced these as "net margin" and "India margin" towards the parent company. The Candian company did declare dividends arising from the profite; instead the Defendant calculated profits agreed with the other shareholders of the company and retained these, without ever paying them over to the Canadian company, so that it is fair to assume a concealed profit distribution from the Canadian company to the Defendant .

4. Profits from own freelance consulting work

The four above-mentioned shareholders of the Canadian parent company, including the Defendant , were also freelance consultants for the Vodafone group, and it was agreed that each shareholder-consultant should invoice their services directly and personally to the Vodafone group.

Hence, consultancy fees were due personally to the respective shareholder-consultants and invoiced by him independently, so that these consultancy fees were excluded from the profit distribution of V. Consulting Group Canada Inc..

5. Course of action:

The Defendant Thomas simply used V. Consulting Group Europe GmbH as an accounting body, where he invoiced the consultancy services performed personally as shareholder-consultant between 2007 and 2009 for the Vodafone Group, as well as the consultancy services of the Canadian parent company via V. Consulting Group Europe GmbH and transferred the amounts from the respective companies, among others, to both business accounts of the German company with account numbers 66852157 and 654197318 at Hypovereinsbank Munich. Then, the Defendant used these company accounts to settle all the expenses of his private life, in particular his accommodation costs in Richhildenst. 68 in Munich, as well as his private expenses for holidays, for his holiday house in Italy (his supposed domicile), vehicles, furniture, food and clothing. The following money flowed to the Defendant between 2007 and 2010:

	Assessment period 2007	**Assessment period 2008**	**Assessment period 2009**	**Assessment period 2010**
Payments/ ATM withdrawals	120,500.- EUR	405,557.- EUR	261,625.- EUR	261,280.- EUR
Withdrawals Michaela Thomas	-	-	-	29,699.- EUR
Allocation of private apartment	60,294.- EUR	147,320.- EUR	156,877.- EUR	52,990.- EUR
Allocation of private expenses	-	24,279.- EUR	28,005.- EUR	547,210.- EUR
Allocation of car	5,410.- EUR	31,045.- EUR	121,038.- EUR	35,511.- EUR
Credit card payments	45,300.- EUR	192,080.- EUR	167,596.- EUR	176,970.- EUR
Transfer to RA Heiss	5,000.- EUR	79,992.- EUR	21,645.- EUR	-
Other Notary costs	1,524.- EUR	-	-	-

Legal fees	-	-	-	11,101.- EUR
Travel expenses	698,- EUR	-	-	-
Total	**238,726.- EUR**	**880,273.- EUR**	**756,786.- EUR**	**1,114,763.- EUR**

He then declared these private expenses and payments paid out via the business account of V. Consulting Group Europe GmbH as business expenses with respect to V. Consulting Group Canada Inc. and allocated them with the income, which should not fall within the profit distribution, due to him directly for his own consultancy services according to the contract with the co-partners.

By means of this procedure, the Defendant 's income from his consultancy activity went tax free and unnoticed by the Revenue Office for years and he used it for his private life.

6. Personal income tax evasion

Through this conduct the Defendant reduced personal income tax as follows:

Year	**Statement**	**Notification**	**Transferred income in Euros**	**Evaded income tax in Euros**	**Fiscal damage minus wage tax**
2007	None	Unassessed	from own consulting activity: 611,879.- from “net margin”: 16,438.- from “India margin”: 0.-	163,080.00	154,832.00
2008	None	Unassessed	from own consulting activity: 569,920.- from “net margin”: 171,792.- from “India margin”:	216,154.00	180,442.00

			0.-		
2009	None	Unassessed	from own consulting activity: 350,119.- from "net margin": 151,006.- from "India margin": 0.-	150,095.00	122,721.00
2010	None	Unassessed	from own consulting activity: 839,090.- from "net margin": 295,119.- from "India margin": 39,010.-	352,891.00	324,531.00
	Total:		**2,333,070.-**	**882,220.00**	**782,526.00**

7. Solidarity tax for own benefit:

Moreover, the Defendant reduced solidarity tax for his own benefit as follows:

Concerned year	Reduction of solidarity tax (5.5% from income tax)	Damage of solidarity tax (5.5% from fiscal damage)
2007	8,969.00 Euros	8,516.00 Euros
2008	11,888.00 Euros	9,924.00 Euros
2009	8,255.00 Euros	6,750.00 Euros
2010	19,409.00 Euros	17,849.00 Euros
Total:	**48,521 Euros**	**43,039.00 Euros**

The Defendant reduced in total taxes and solidarity tax by 930,741.00 Euros, although, because of allowable wage taxes, which were transferred for his wife's income, a fiscal damage of 825,565.00 emerged.

8. Tax calculation:

The tax reduction is calculated as follows (D.T. stands for Dierk Thomas, M.T. for his wife Michaela Thomas):

a)

	2007	**2008**
Income from own consultancy activity	611,879 €	569,920 €
Income from "India margin" (minus 10%)	0	0
Income	611,879 €	569,920 €
Expenses (all-in 30%)	-183,564 €	-170,976 €
Revenues § 18 Income Tax Act D.T.	428,315€	398,944 €
Revenues § 19 Income Tax Act M.T. (Mrs Thomas earned income as employee and paid income tax on this)	20,801 €	92,438 €
Revenues § 20 Income Tax Act (see underneath for calculation)	6,617 €	84,294 €
Total amount of revenues	455,733 €	575,676 €
minus expenses of a provident nature	-27,105 €	-23,144 €
minus children allowance	-18,072 €	-18,072 €
Taxable income	410,556 €	534,460 €
Income tax after tax rate for separate taxing of husband and wife	156,604 €	209,678 €
plus children allowance	6,476 €	6,476 €
Reduced income tax	163,080 €	216,154 €
Minus wage tax	-8,248 €	-35,712 €
Income tax	154,832 €	180,442 €
plus solidarity tax	8,516 €	9,924 €
Damage from income tax and solidarity tax	163,348 €	190,336 €

	2009	**2010**
Income from own consultancy activity	350,119 €	839,090 €
Income from "India margin" (minus 10%)	0	39,010 €
Income	350,119 €	878,100 €

Expenses (all-in 30%)	-105,035 €	-251,728 €

b) The revenues according to § 20 Income Tax Act for the years 2007 and 2008 are calculated as follows:

Revenues § 18 Income Tax Act D.T.	245,084 €	626,372 €
Revenues § 19 Income Tax Act M.T.	88,235 €	93,504 €
Total amount of revenues	333,319 €	719,876 €
minus expenses of a provident nature	-23,824 €	-25,305 €
minus children allowance	-18,072 €	-18,072
Taxable income	291,423 €	676,499 €
Income tax after tax rate for separate taxing of husband and wife	106,268 €	273,036 €
plus children allowance	6,476 €	6,476 €
plus tax according to § 32d Income Tax Act (compare calculation under c)	37,351 €	73,379 €
Reduced income tax	150,095 €	352,891 €
minus wage tax	-27,374 €	-28,360 €
Income tax	122,721 €	324,531 €
solidarity tax	6,750 €	17,849 €
Damage from income tax and solidarity tax	129,471 €	342,380 €

	2007	**2008**
Net margin	16,438 €	171,792 €
Income from capital assets according to § 20 par. 1 no. 1 Income Tax Act	16,438 €	171,792 €
of which 50% (§ 3 par. 40 Income Tax Act)	8,219 €	85,896 €
minus income-related expenses lump sum according to § 9a par. 4 Income Tax Act	-102 €	-102 €
Return on capital employed	8,177 €	85,794 €
minus saver's tax allowance according to § 20 par. 4 Income Tax Act	-1,500 €	-1,500 €
Income from capital assets according to § 20 Income Tax Act	**6,617 €**	**84,294 €**

c) The revenues according to § 32d Income Tax Act for the years 2009 and 2010 are calculated as follows:

	2009	**2010**
Net margin	151,006 €	295,119 €

Income from capital assets according to § 20 par. 1 no. 1 Income Tax Act	151,006 €	295,119 €
Return on capital employed minus saver's tax allowance according to § 20 par. 4 Income Tax Act	151,006 € -1,602 €	295,119 € -1,602 €
Return on capital employed according to § 32d par. 1 Income Tax Act	149,404 €	293,517 €
Tax according to § 32d Income Tax Act (32%)	**37,351 €**	**73,379 €**

C)

The personal affairs of the Defendant are certain on the basis of his declarations in the main trial as well as on the basis of the excerpt from the Federal Central Criminal Register, which is read aloud.

The facts and circumstances assessed in B) are certain and true on the basis of the documents submitted in the trial and on the basis of the admissions made with remorse and guilty feelings by the Defendant . This admission is also credible, because the facts and circumstances, as portrayed by the witnesses Häderle and Horre, are confirmed. Mr Häderle provided information for the background of the condemned facts and circumstances, Ms Horre, the officer in charge at the tax investigation in Munich, performed the investigation proceedings and the figures provided here, which fully corresponded with the papers and the statement by the Respondent.
The Defendant was without doubt domiciled in Germany, and therefore in Richhildenstr. 68 in Munich, and that was his main place of residence with his family. The Defendant tried at first to conceal this, by giving this address as presumed guest house of his company, however, on the basis of the submitted documents (as well as the contract with the relocation service, which was hired for the move of the Defendant and his family, application of Thomas'

children in the Rudolf Steiner Kindergarten in Munich etc.), the declarations of the witness Horre and the admissions of the Respondent, it appears that the Defendant during the time of the offence was domiciled in Munich. Therefore he was also liable for taxation in Germany.

The Court proceeds from the assumption that the admission of the Defendant is fully credible.

D)

The Defendant Thomas is guilty of having concealed from the tax authorities in four independent activities, breaching his duty, significant fiscal cases and therefore he reduced taxes, although in three cases he reduced the taxes to a great amount (ESt 2008,2009,2010)

punishable as

four cases of tax evasion, of which three cases in a particularly severe manner

according to §§ 369, 370 par. 1 no. 2, par. 3 page 2 no. 1 Revenue Code, 53 Criminal Code.

For 2007, therefore, the case of tax evasion is not considered particularly severe, because the presence of the tax evasion was not made for personal interest. According to the Court, the financial gain included with the existing pursuit of profit by each offender was not present, so that despite the high amount of tax evaded because of the still valid old version of § 370 par. 3 clause 2 no. 1 Revenue Code for this period of time, a definitional element of the severe case was not adopted.
Provided that the consultancy services directly provided by the Defendant for Vodafone on behalf of V. Consulting Europe GmbH were invoiced, this was accomplished by the Defendant only because in this way he wanted to avoid his tax liability. The agreements with the member companies of the Canadian society proved that direct consultancy services of the single companies had to be invoiced and taxed for themselves respectively. The company V. Consulting Group Europe GmbH did not have established business operations at the given address in Maximilianstr. 35a in Munich, on the contrary, this was the address of the secretarial services Regus GmbH & Co KG, with whom the Defendant had concluded a contract regarding the forwarding and storage of post.

All expenses for the private life of the Defendant and his family were processed through the accounts of V. Consulting Group Europe GmbH, therefore the holiday house in Italy, the villa in Richhildenstr. 68 in Munich, the cars (for a while 2 Porsches and a BMW Mini) and moving and travel expenses.

V. Consulting Group GmbH was evidently only an allocating vehicle, so the Revenue Office would not know about the considerable earnings of the Defendant Thomas from consultancy services and the Defendant could pay all the private costs of the Thomas family via this company. According to § 42 Revenue Code, the Defendant was to be dealt with as if he invoiced and received personally the earnings from the consultancy services that he himself provided to Vodafone, like his capital gaining from the Canadian company, because this economically corresponds to what actually happened.

The Defenant, who was arrested on 09.10.2012 in Austria, agreed to a transfer to the German authorities, with the committing and legal protection magistrate of the District Court Innsbruck, without being formally extradited. Considering this, the Austrian federal minister for justice arranged for the extradition of the Defendant . With these various extraditions, according to the Austrian law no protections offered by the rule of speciality are connected, so that the Defendant can be sentenced for the tax evasion in 2010 as well, even if this fact was not yet contained in the detention pending extradition order.
Also in relation to the income tax for 2010 the Court assumes a complete tax evasion. The proceedings against the Defendant because of this tax evasion were initiated on 10.12.2012. As declared, at this point more than 97% of all income tax assessments through the competent Revenue Office in Munich were terminated, so that at the time of the start of the criminal prosecution for tax offence against the Respondent, the closing of the assessment was also given for the year 2010 (compare Short Comment on General Fiscal Law, 11th edition, § 370, recital 92).

Statute of limitation did not apply. The criminal prosecution for tax offence regarding the income tax evasion against the Defendant for the years between 2005 and 2008 was initiated on 30.11.2010; on 23.02.2012 the criminal prosecution for tax offence was extended because of the suspicions of the alienation of income tax and solidarity tax for the year 2009. The criminal prosecution for tax offence was made known to the Defendant after his arrest on 09.10.2012.

A renewed extension of the criminal prosecution for tax offence followed on 10.12.2012 because of suspicions of the alienation of income tax and solidarity tax for the year 2010, which was also made known to the Defendant during the questioning on 10.12.2012. Another interruption of the statute of limitation followed though the investigation of the Defendant on 01.08.2013, so that statute of limitation had not yet taken place.

E)

At the penalty assessment, for the case of tax evasion in 2007, a range of sentences were given in compliance with § 370 par. 1 Revenue Code, of a prison sentence of up to five years or financial penalty; since the tax evasion cases in 2008 until 2010 were particularly severe cases, a range of sentences of six months up to ten years, in compliance with § 370 par. 3 Revenue Code were given.

Within this range of sentences the fact that he deposited a solemn declaration of guilt and remorse went in favour of the Respondent.
Furthermore, he rendered € 200,000.00 compensation for damages caused and made payments in this amount to the Revenue Office. In favour of the Defendant it must also be observed that he has no previous criminal record and has been in custody for a long time, which the Defendant found particularly hard, because it was the first time.
To his disadvantage are the extend of the damage, the long period of time of the committed offence and the fact that the Defendant deliberately concealed his domicile from the Revenue Office for a long time.
Under observation of these points of view in favour and against the Respondent, the Court delivers the following single penalties in proportion to the nature and seriousness of the offense:

Tax evasion in 2007: 7 months prison and
in addition a financial penalty of
240 daily rates of 100.00 € each
Tax evasion in 2008: 1 year prison and

in addition a financial penalty of
300 daily rates of 100.00 € each

Tax evasion in 2009: 10 months prison and
in addition a financial penalty of
240 daily rates of 100.00 € each

Tax evasion in 2007: 1 year 7 months prison and
in addition a financial penalty of
360 daily rates of 100.00 € each

The financial penalty, along with the prison sentence, is based on the assumption that the Defendant enriched himself though the tax evasion and he led a luxurious life change with the additional money collected.

Therefore, in compliance with § 41 Criminal Code, financial penalties were also introduced along with the imposed detention.

Under further assessment of all points of view in favour and against the Defendant and in particular the deposited declarations, the Chamber, from the declared single penalty, pronounces a

prison sentence of 2 years

and in addition a

financial penalty of 72 daily rates of 100.00 € each.

The amount of the daily rate is based on the financial relations which appeared from the statements of the Defendant and the documentation presented.

A parole, in compliance with § 56 par 2 Criminal Code, could not be granted to the Defendant for the prison sentence, because neither in the general evaluation of the act nor in the personality of the sentenced person were particular conditions given, which can justify such parole.

The detention pending extradition experienced in Austria had to be counted with a 1:1 ratio, since particular difficulties of the custody in Austria with respect to the German detention were not apparent.

F)

The decision on costs is based on §§ 464, 465 Code of Criminal Procedure.

Eckert
Presiding District
Court Judge

D. Röthlein
District Court Judge

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